

BE
BE N/A

Buy	\$273.51 ▼ 4.03%	12M Price Target \$325.00	52-Week Range \$18.12 – \$322.83	Market Cap \$77.80B
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BE: AI Power Demand Drives Oracle Deal; Reiterate Buy

WHAT'S CHANGED

- BE -4.03% to \$273.51 on 9.6M volume, extending 4-day pullback from \$302.40 (-9.6% cumulative) as profit-taking accelerates after WSJ "megacap territory" framing — classic exhaustion behavior after parabolic move (stock at 84% of 52-wk range with low of \$18.12).
- Barclays and BTIG raised price targets following the Oracle partnership announcement and strong Q1 print; options flow skewed bearish near-term (P/C 1.48) with unusual \$310/\$295 put buying suggesting hedging into earnings strength rather than directional bearishness.

IMPLICATIONS

The Oracle partnership validates Bloom's solid oxide fuel cell platform as a credible behind-the-meter power solution for AI datacenter buildouts, where grid interconnect queues stretch 4-7 years in key markets. With Technology sector +8.52% over 5 days and the AI capex narrative re-accelerating, BE has effectively repositioned from a legacy clean-energy story into an AI infrastructure derivative — justifying multiple expansion despite still-negative GAAP earnings. The 4% pullback today reflects healthy consolidation after a >15x run from 52-wk lows, not thesis deterioration.

VALUATION

At \$77.8B market cap on ~\$2.15B FY26E revenue, BE trades at ~36x EV/Sales — a premium to industrial peers but increasingly benchmarked against AI infrastructure names (VRT, ETN, GEV) trading at 8-15x sales with proven margins. Our \$325 PT (+19%) assumes FY27 revenue of \$2.85B and EV/Sales compression to 28x as profitability scales; bull case to \$420 requires hyperscaler contract wins beyond Oracle. Key multiple driver: durability of behind-the-meter pricing power vs. eventual grid-buildout substitution risk.

KEY RISKS

- Valuation re-rating risk — at 36x sales, any execution stumble or contract delay triggers sharp multiple compression
- Hyperscaler concentration: Oracle deal terms unknown; pricing/margin disclosure could disappoint vs. expectations baked into stock
- Natural gas dependency and IRA/policy risk under shifting energy regulatory regimes; supply chain (rare earths, ceramics) for fuel cell stacks

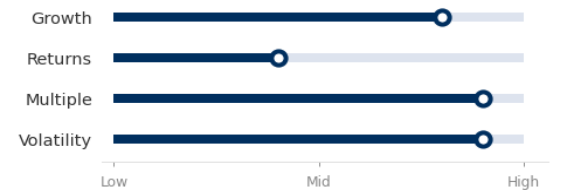
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Key Data

Price (USD)	\$273.51
12M Price Target	\$325.00
Upside / (Downside)	+18.8%
Market Cap	\$77.80B
FY2026E Revenue	\$2,150M
FY2027E Revenue	\$2,850M
FY2026E EPS	\$0.45
FY2027E EPS	\$0.95
Fwd P/E	607.8x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$320.00	\$285.00	\$240.00
6 Months	\$360.00	\$310.00	\$220.00
1 Year	\$420.00	\$325.00	\$195.00
2 Years	\$525.00	\$380.00	\$170.00
5 Years	\$750.00	\$500.00	\$140.00
10 Years	\$1100.00	\$650.00	\$100.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+8.52% 5D), Energy (+1.79% 1D)

COLD SECTORS: Financials (-0.98% 5D), Industrials (flat)

ROTATION WATCH: Capital rotating into AI-adjacent power and infrastructure plays as datacenter capex narrative re-accelerates; expect continued bid for behind-the-meter power, cooling, and grid hardware names through summer.

BYPRODUCT PLAY: Secondary beneficiaries include natural gas pipeline/midstream (BE's fuel source), industrial gas (LIN, APD for hydrogen), and electrical equipment (VRT, ETN, GEV) — all leveraged to the same AI power scarcity thesis.

OUTPERFORMERS & PEER CONTEXT

- VRT (Vertiv Holdings): Datacenter thermal/power infrastructure leader continues to compound on AI capex with steady margin expansion and visible backlog growth
- GEV (GE Vernova): Gas turbine and grid equipment orders surging; multi-year backlog visibility supporting premium multiple

BE CONTEXT: BE is pulling away from legacy clean energy peers (PLUG, FCEL) and rerating into the AI infrastructure cohort — relative performance vs. VRT/GEV has been the better tell than vs. fuel cell peers. Today's -4% underperforms Tech +2.48% but is consistent with profit-taking after a parabolic move, not thesis breakdown.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: \$255-270 on pullbacks; add on \$240 retest

Time Horizon: 12-24 months

Thesis Invalidation: Loss of hyperscaler contracts, gross margin compression below 25%, or grid interconnect timelines accelerating materially

Hedging: Long-dated puts or pair short against richer fuel-cell peer FCEL